



“RIL has effectively used huge cash flows from its legacy petrochemicals business to build the telecom and retail forays over the past decade or so”

GAURAV DUA

HEAD (CAPITAL MARKET STRATEGY), SHAREKHAN BY BNP PARIBAS



“Be it building Jio or retail and now the [proposed] de-merger of financial services from RIL, [their] consumer strategy is clear and definite”

DEVEN CHOKSEY

MD, KR CHOKSEY SECURITIES



“It [RIL] is fairly well-covered in each of the categories. The benefit of scale works to its advantage, making it a strong player wherever it operates”

ALIASGAR SHAKIR

TELECOM, MEDIA AND RETAIL ANALYST (INSTITUTIONAL EQUITIES), MOFSL

he explains. The normal cycle for a private equity fund is seven years and going by that, there is easily another five to six years left, with a good chance that it may even take place earlier as the businesses continue to scale up. Dua adds that “there is eagerness in the market for the listing of these businesses, which would be an opportunity to invest directly in these fast-growing sectors”.

At the 2021 annual general meeting, Ambani had announced that RIL would invest \$10 billion in renewable energy. The plan is to have four giga factories at Jamnagar to produce solar cells and modules, energy storage batteries, fuel cells and green hydrogen. This is a long-gestation foray and RIL's balance sheet can easily fund this. The strategic advantage that RIL has is its integrated energy portfolio. “Its key business has been energy for many years. Plus, it is playing to its strengths when it comes

to chemicals and manufacturing,” says one person familiar with the group's renewable energy business, while pointing out that the decision to take the manufacturing route is one that is well thought out. “It also has a significant captive requirement and that is round the clock. Plus, hydrogen is a familiar area for RIL.” Combine that with an understanding of the ecosystem and the ability to execute, and an interesting picture emerges.

Choksey says the cash flow is to the extent of ₹1.3-1.4 lakh crore, which can easily support any venture without raising money from outside. “A business will need to get to a certain stage of development when it becomes a lot easier to get in the cash. Today, RIL's funding is on autopilot and the projects are well-placed. It just needs to focus on its core strength of execution,” says Choksey. Dua believes renewable energy is a clear growth opportunity and RIL has already chalked

out aggressive investments. “Like retail and telecom, it has the potential to create meaningful wealth for shareholders,” says Dua.

In the midst of all this are the traditional businesses, where the sectors are going through a period of disruption. According to Choksey, alternative sources of fuel are inevitable, but that is a long-term story. “The shift could take another three decades if not more. Till then, the source of energy will come from RIL's traditional businesses (oil),” he explains. In the case of petrochemicals, the green story globally is very much in play, but again one that is a while away. “The older businesses of RIL, too, will transform after having reached maturity in a different world. That means, they too must be looked at differently.” By any stretch, this has the makings of the most interesting and dramatic phase for RIL. **BT**

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